

Chapter 8

THE BROAD INDEXES AND SECONDARY STOCKS

The NYSE index tracks all stocks on the New York Stock Exchange, the S&P (which denotes Standard & Poor's, Inc.) Composite index tracks the 500 highest valued companies weighted by capitalization (i.e., the number of shares times price), the NASDAQ (which stands for National Association of Securities Dealers Average) index tracks the listed over-the-counter stocks weighted by market capitalization, and the Value Line index tracks the cumulative average daily percentage gain or loss of approximately 1,700 stocks. All of them show the behavior of a larger group of stocks than is in the Dow Jones Industrial Average.

For over eight years, the S&P, NYSE and NASDAQ have all been bumping up against major resistance lines dating back to 1937, 1966 and/or 1987, as they are again today (see Figures 8-2 and 8-4). The last time a series of touch points like this occurred was 1962-1966-1968. The final meeting of these lines at that time led to the 1968-1974 bear market, the largest since 1937-1942. The prolonged period of prices holding up just below these lines is not a comfort, but a warning of great import. Might the current approach of the resistance line be its last? The answer lies in the wave labeling.

THE S&P COMPOSITE INDEX

As argued in 1983 (see Appendix A of *Elliott Wave Principle*), "the wave structure of the Dow and that of the broader indexes should fit together." Examine Figure 8-1, reproduced from that report and labeled "Still probable for the broad indexes." Compare it to the end of Figure 8-2, which shows the S&P Composite index updated through today. As you can see, it has been following the forecasted form throughout Cycle wave V. While wave ⑤ has taken longer than originally projected, the required wave structure from the 1974 low is nearly fulfilled, which will in turn complete five waves from 1932. Prices are rapidly approaching the 1966-1987 resistance line, which would end the bull market in the 540s-560s range. This line, shown dashed in Figure 8-2, corresponds to that for the Dow shown